

Question 3: Respondents choosing “b” are likely to be susceptible to availability bias. More Americans are killed annually by lightning than by tornadoes. Media attention, drills, and other publicity, however, make tornado fatalities memorable and therefore more “available” for people.⁴

ADVICE

Generally speaking, in order to overcome availability bias, investors need to carefully research and contemplate investment decisions before executing them. Focusing on long-term results, while resisting chasing trends, are the best objectives on which to focus if availability bias appears to be an issue. Be aware that everyone possesses a human tendency to mentally overemphasize recent, newsworthy events; refuse to let this tendency compromise you. The old axiom that “nothing is as good or as bad as it seems” offers a safe, reasonable recourse against the impulses associated with availability bias.

When selecting investments, it is crucial to consider the effects of the availability rule of thumb. For example, stop and consider how you decide which investments to research before making an investment. Do you frequently focus on companies you’ve read about in *BusinessWeek* or the *Wall Street Journal* or on investments that have been mentioned on popular financial news programs? A Cornell University researcher named Christopher Gadarowski in 2001 investigated the relationship between stock returns and press coverage. He found that the stocks receiving the most press coverage actually went on to underperform the market in the two years following their exposure in the news.⁵

It is also important to keep in mind that people tend to view things that occur more than a few years ago as past history. For example, if you got a speeding ticket last week, you will probably reduce your speed over the course of the next month or so. However, as time passes, you are likely to revert to your old driving habits. Likewise, availability bias causes investors to overreact to present-day market conditions, whether they are positive or negative. The tech bubble of the late 1990s provided a superb illustration of this phenomenon. Investors, swept up in the euphoria of the “new economy,” disregarded elementary risks. When the market corrected itself, these same investors lost confidence and overfocused on the short-term, negative results that they were experiencing.

Another significant problem is that much of the information investors receive is inaccurate and is based on insufficient information and multiple